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25-CIV-00841 SAMUEL DOWOON LEE VS. SUNIL EVANS, ET AL.

LINE 3

SAMUEL DOWOON LEE
SUNIL EVANS

QUINLAN S. TOM
JONATHAN D. KINTZELE

PLAINTIFF: SAMUEL DOWOON LEE'S DEMURRER TO CROSS-COMPLAINANTS MARVIN EVANS, SUNIL EVANS, AND GRAND ELECTRIC AND CONSTRUCTION INC.'S CROSS-COMPLAINT

TENTATIVE RULING:

Plaintiff/Cross-Defendant Samuel Doowon Lee's Demurrer to each cause of action in the Cross-Complaint of Marvin Evans, Sunil Evans, and Grand Electric and Construction, Inc. is SUSTAINED-in-part with leave to amend, as to the Second Cause of Action for Fraud in the Inducement, Fourth Cause of Action for Fraud, and Ninth Cause of Action for Negligent Misrepresentation, Tenth Cause of Action for Conversion, Eleventh Cause of Action for Intentional Interference, Twelfth Cause of Action for Negligent Interference and Thirteenth Cause of Action for Unjust Enrichment; SUSTAINED-in-part without leave to amend as to the First Cause of Action for Conspiracy, Seventh Cause of Action for Negligence and Fourteenth Cause of Action for Preliminary Injunction; and OVERRULED-in-part, as to the remaining causes of action as follows:

First Cause of Action for Conspiracy

Conspiracy is not an independent cause of action; it is a theory for extending tort liability to multiple defendants who already owe a duty. (*Applied Equip. Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal. 4th 503; *Faunce v. Cate* (2013) 222 Cal. App. 4th 166.) Cross-Complainants concede the point. (Opp. at p. 6.)

The Demurrer to this cause of action is accordingly SUSTAINED without leave to amend.

The Fraud Causes of Action – Second Cause of Action for Fraud in the Inducement, Fourth Cause of Action for Fraud, and Ninth Cause of Action for Negligent Misrepresentation

Fraud must be pled with specificity, and facts must be alleged showing “how, when, where, to whom, and by what means the representations were tendered,” with heightened requirements where the defendant is a corporation, or speaks for a corporation. (*Cansino v. Bank of Am.* (2014) 224 Cal. App. 4th 1462, 1469, quoting *Lazar v. Superior Ct.* (1996) 12 Cal. 4th 631, 638.) The same specificity governs fraudulent concealment, though the inquiry shifts to the concealment elements (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal. 5th 1.) Negligent misrepresentation is a species of fraud subject to the same particularity standard.

Here, the alleged misrepresentations are written warranties Lee personally signed. Where the alleged misrepresentation is embodied in a signed instrument, the enhanced pleading burden can be met by the document itself, which supplies the content, date, and place of the representation, with the defendant possessing superior knowledge of its preparation. (*Boschma v. Home Loan Ctr., Inc.* (2011) 198 Cal. App. 4th 230.) Particularity is also relaxed “when the facts lie more in the knowledge of the opposite party.” (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 158, quoting *Turner v. Milstein* (1951) 103 Cal.App.2d 651, 658.)

The Stock Purchase Agreement signed by Lee on May 11, 2023, at Sections 9(c)(i) and 9(h)(ii), supplies the who, what, when, and where as to Plaintiff/Cross-Defendant Lee. (Cross-Complaint, ¶¶45-53.) However, a false-promise or false-warranty theory requires more than nonperformance and a plaintiff must allege facts showing the promisor did not intend to perform, or knew a statement was false when it was made. (*Beckwith v. Dahl* (2012) 205 Cal. App. 4th 1039.) The Cross-Complaint does not allege contemporaneous facts of a present intent not to perform. Additionally, it does not allege the element of falsity with specificity.

The Demurrer to these causes of action are accordingly SUSTAINED with leave to amend.

Third Cause of Action for Breach of Fiduciary Duty

The elements of a cause of action for breach of fiduciary duty are (1) a fiduciary relationship, (2) breach, and (3) damages. (*Coley v. Eskaton* (2020) 51 Cal. App. 5th 943; *Gutierrez v. Girardi* (2011) 194 Cal. App. 4th 925.) Corporate officers and directors owe fiduciary duties of care and loyalty to the corporation. (*Coley v. Eskaton, supra*, 51 Cal. App. 5th 943; *Oakland Raiders v. Nat'l Football League* (2005) 131 Cal. App. 4th 621.) A corporation may sue its own officer directly when properly authorized. (*Anmaco, Inc. v. Bohlken* (1993) 13 Cal. App. 4th 891.) Cross-Complainant Grand Electric, alleges that Plaintiff/Cross-Defendant Lee served as its CEO, President, and RMO and breached his fiduciary duties by falsifying records and directing unlawful operating procedures. (Cross-Complaint, ¶¶61-66.) Those allegations state a direct fiduciary claim for Grand Electric.

Ordinarily a general demurrer does not lie to part of a cause of action, and if any part is properly pleaded the demurrer is overruled. (*Elder v. Pac. Bell Tel. Co.* (2012) 205 Cal. App. 4th 841.) Plaintiff/Cross-Defendant Lee argues that where multiple plaintiffs bring a claim and one plaintiff lacks standing a demurrer may be sustained as to that plaintiff, and that the demurrer should be sustained as to Cross-Complainants Sunil Evans and Marvin Evans. A former seller in an arm's-length stock purchase owes the buyer no fiduciary duty; a mere contract or debt does not create a fiduciary relationship. (*Bank of Am. Corp. v. Superior Ct.* (2011) 198 Cal. App. 4th 862; *Oakland Raiders v. Nat'l Football League* (2005) 131 Cal. App. 4th 621; *Santos v. Wing* (1961) 197 Cal. App. 2d 678.) Cross-Complainants do not dispute that Sunil Evans and Marvin Evans were not personally owed a fiduciary duty by Plaintiff/Cross-Defendant Lee. However, the proper vehicle to attack the portion of the cause of action that is raised by the individual cross-complainants is via a motion to strike. (See *PH II, Inc. v. Superior Ct.* (1995) 33 Cal. App. 4th 1680.)

The demurrer to this cause of action is accordingly OVERRULED. However, if Cross-Complainants do amend, they should seriously consider removing Sunil Evans and Marvin Evans as complainants on this cause of action to avoid a clearly meritorious motion to strike.

Fifth and Sixth Causes of Action for Breach of Contract and Breach of the implied covenant

Plaintiff/Cross-Defendant argues only that these causes of action sound in fraud and must be pleaded with particularity. (MP&A ISO Demurrer, at p. 13:1-18.) As Cross-Complainant's argue, a breach of contract claim requires only a contract, plaintiff's performance or excuse, breach, and damages, and may plead the agreement by attachment, and it need not be pleaded with particularity. (See Opp., at p. 5.)

The demurrer to these causes of action is accordingly OVERRULED.

Seventh Cause of Action for Negligence

The economic loss rule bars tort recovery for purely economic losses between contracting parties where the claim is not independent of the contract. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal. 5th 905.) Its exceptions are confined to intentional fraud and fraudulent concealment; the rule "only applies to bar tort recovery for negligently inflicted economic losses." (*Rattagan v. Uber Techs., Inc., supra*, 17 Cal. 5th 1, 38.) *Robinson Helicopter* rested expressly on affirmative intentional misrepresentation, and it refers to case law which warns that if every negligent breach gave rise to tort damages the limitation would be meaningless. (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal. 4th 979.)

This claim seeks only economic damages from the stock-purchase transaction and Cross-Complainants concede it is "in substance" negligent misrepresentation. (Cross-Complaint, ¶109; Opp. at p. 8:7-10.) That concession is fatal both because ordinary negligence is barred by the rule and because, to the extent the count is one for negligent misrepresentation, it duplicates the Ninth cause of action. Because no amendment converts an ordinary negligence count for economic loss into a viable independent tort, the demurrer is well taken and Cross-Complainants have not shown that the defect can be cured by amendment.

The Demurrer to this cause of action is accordingly SUSTAINED without leave to amend.

Eighth Cause of Action for UCL Violation

Plaintiff/Cross-Defendant Lee argues that this cause of action is derivative of the fraud causes of action. (MP&A ISO Demurrer, at p. 13:1-18.) However, Cross-Complainants plead economic injury from an inflated purchase price, and the unlawful prong of the UCL claim addresses violations beyond those alleged in the fraud causes of action. (Cross-Complaint, ¶¶111-116.)

The Demurrer to this cause of action is accordingly OVERRULED.

Tenth Cause of Action for Conversion

Money is convertible only where a specific, identifiable sum is involved, and a conversion-of-money claim lies only where the defendant interferes with the plaintiff's possessory interest in that sum; the simple failure to pay money owed is not conversion, and recognized cases involve defendants who "misappropriated, commingled, or misapplied specific funds held for the benefit of others." (*Voris v. Lampert* (2019) 7 Cal. 5th 1141, 1152.) The Cross-Complaint alleges that Plaintiff/Cross-Defendant Lee sent notices directing customers to pay him and served a stop notice, but it does not allege that any

customer paid Lee or that Lee took possession or control of any identifiable fund. (Cross-Complaint, ¶¶124-129.) The Cross-Complaint is therefore insufficient as pleaded as to this cause of action.

The Demurrer is accordingly SUSTAINED with leave to amend as to this cause of action.

Eleventh and Twelfth Causes of Action for Intentional Interference with Prospective Economic Advantage and Negligent Interference with Prospective Economic Advantage

Each of the challenged causes of action here require actual disruption of an economic relationship, and the intentional tort additionally requires an act independently wrongful apart from the interference itself. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal. 4th 1134.) The Cross-Complaint alleges Lee's letters and stop notice but pleads no facts that any customer breached, terminated, or altered its dealings with Grand Electric; unilateral correspondence asserting a disputed claim is not actual disruption. (Cross-Complaint, ¶¶130-140.) The pleading is further muddled by alleging that the cross-defendants were "parties to a contract with Cross-Complainants" and that the disrupted relationship was "with Cross-Defendants," which appears to conflate the parties. (*Id.*, at ¶¶132, 138.) A party to a contract cannot be liable for interfering with that contract. (*Applied Equip. Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal. 4th 503; *Redfearn v. Trader Joe's Co.* (2018) 20 Cal. App. 5th 989.)

The Demurrer is accordingly SUSTAINED with leave to amend as to these causes of action.

Thirteenth Cause of Action for Unjust Enrichment

Unjust enrichment is not itself a cause of action but is construed as a quasi-contract claim for restitution. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221.) Such a claim does not lie where an express binding contract governs the same subject matter. (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal. App. 4th 1342.) But restitution may be sought where the express contract was procured by fraud or is void, and a plaintiff may plead quasi-contract in the alternative when it disputes the contract's validity. (*Rutherford Holdings, LLC v. Plaza Del Rey*, supra, 223 Cal. App. 4th 221.)

Cross-Complainants plead fraud in the inducement and expressly seek rescission. (Cross-Complaint, ¶122.) This places the Stock Purchase Agreement's validity in dispute and supports pleading a theory of quasi-contract in the alternative. However, Cross-Complainants affirm the Stock Purchase Agreement and seek to enforce it without disaffirming it. The pleading as drafted is therefore subject to demurrer.

The Demurrer is accordingly SUSTAINED with leave to amend as to this cause of action.

Fourteenth Cause of Action for Preliminary Injunction

A preliminary injunction is an interim remedy to preserve the status quo, not a cause of action. (*Siskiyou Hosp., Inc. v. Cnty. of Siskiyou* (2025) 109 Cal. App. 5th 14.) Cross-Complainants concede the point. (Opp., at p. 8:18.) Because injunctive relief cannot be repleaded as a standalone claim, the cause of action is subject to demurrer without leave to amend, though the substantive allegations may properly be relocated to an amended pleading's prayer for relief.

The Demurrer to this Cause of Action is accordingly SUSTAINED without leave to amend.

Demurrer for Uncertainty as to Each Cause of Action

The Cross-Complaint is not so uncertain that Cross-Defendants cannot reasonably respond.

The Demurrer on this basis is accordingly OVERRULED.

Cross-Complainants may file a First Amended Cross-Complaint within ten days of notice of entry of this order.

Any party who contests a tentative ruling must email Dept11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the moving party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

02:00 PM

25-CIV-02754 JOSE SALVADOR TINAJERO VS. ESTELA BELLO, ET AL.

LINE 4

JOSE SALVADOR TINAJERO
ESTELA BELLO

GREGORY C. CATTERMOLLE
GERALD T. LAU

DEFENDANTS: ESTELA BELLO AND OFELIA BELLO'S MOTION AND MOTION TO COMPEL RESPONSES TO DEFENDANTS' FIRST SET OF FORM INTERROGATORIES, REQUEST FOR PRODUCTION OF DOCUMENTS, REQUEST NOS. 1-28, AND REQUESTS FOR ADMISSION, REQUEST NOS. 1-14; REQUEST FOR MONETARY SANCTIONS

TENTATIVE RULING:

The motion is moot. The declaration of Gregory Cattermole establishes that discovery responses have been served. Defendants' request for sanctions is DENIED. While normally the Court would issue sanctions (although a substantially lower amount than sought), the Declaration of Greg Cattermole supports the Court's conclusion that issuance of sanctions would be unjust under the specific circumstances of this motion.

Any party who contests a tentative ruling must email Dept11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court and will be reflected in the minutes. No formal order will follow.
